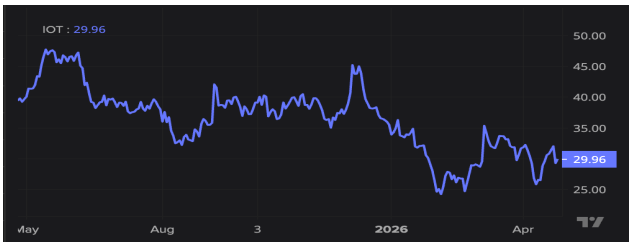
Samsara Inc (NASDAQ: IOT)
IoT/Application Software

Bennett Lee
Blee27@gsb.columbia.edu
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Trading Statistics & Trading Chart

Current Price: $29.96
52 Week Range: $29.43-61.89
Shares Outstanding: 580mm
Market Cap: $19.55bn
Beta: 1.34

Volume: 3.67mm
YTD Price Change (%): -15.49%
Short Interest: 5.70%
Rule of 40*: 42%
Defined as Revenue Growth + Adjusted Free Cash Flow Margin



Executive Summary

Samsara is a leading IoT platform for fleets, equipment, and other physical operations. By replacing fragmented legacy point solutions with a unified, cloud native platform, Samsara has earned durable pricing power and deep relationships with customers. ***I recommend buying Samsara with a $48 two-year price target based on 1) The Proprietary Data Flywheel, 2) a massively underpenetrated TAM, and 3) a continual mix shift toward high-ARR and multi-product customers.***

Company & Management Overview

Samsara was founded in 2015 by Sanjit Biswas and John Bicket. Samsara provides a cloud-based platform that helps businesses with large fleets, equipment, and physical operations. Its Internet-of-Things (IoT) devices and software collect and analyze real-time data from vehicles, equipment, and job sites, offering insights on driver safety, fuel efficiency, asset utilization, and compliance. Customers use Samsara's tools for video-based safety, vehicle tracking, equipment monitoring, and workflow automation across industries like transportation, logistics, construction, and manufacturing.

Investment Thesis

1. Proprietary Data Flywheel Drives Durable Growth and Moat

Samsara's Unified Connected Operations Platform spans **24,000 customers** and covers **99% of US Roads**, collecting **~25 trillion data points** and **90 billion miles annually**, creating a proprietary dataset competitors can't easily replicate. This asset is actively powering AI today - running dozens of computer vision and LLM based safety detection models and benchmarking operational performance at a scale no competitor can match - and Samsara recently launched its first autonomous AI agent, the AI Safety Coach, shifting the value proposition from a software budget line into a labor replacement story and materially expanding the addressable wallet. The data advantage supports premium pricing and deeper adoption: **96%** of **$100K ARR** Customers use at least **2 products**, driving **115%** net retention and high switching costs of **$100-250K per day**, creating a self-reinforcing flywheel that accelerates growth and continually widens Samsara's moat.

2. Massive Underpenetrated TAM with a Clear Path to Capture

Despite Samsara's leading position in IoT fleet management, the opportunity is still early. The company addresses a global TAM of **$51bn** in connected fleet and **$137bn** in connected operations, with roughly **35mm** commercial vehicles in North America and **60mm** in Western Europe alone. Management is attacking this with a direct-sales, land-and-expand model that keeps most of the sales force focused on the U.S., while country teams and region-specific features drive adoption abroad. International net new Annual Contract Value (ACV) now represents **15-18%** of net new ACV, with Europe posting a record quarterly net new ACV contribution. This focused go-to-market strategy gives Samsara a long runway to compound ARR as it converts a large, underpenetrated TAM into its Connected Operations Platform.

3. Mix Shift toward Larger, High ARR, Multi-Product Customers

Growth is increasingly driven by large customers with better unit economics and durability. Customers spending **>$100k ARR** grew **33%**, from **1,237 to 1,848** in 2023-2024 and another **35%** from **1,848 to 3,194** in 2024-2025, with the figure at **3,194** as of **Q4 2026.** These large customers now generate **61%** of the base, with **>160** customers generating at least **$1mm** of ARR. Large customers are also deeper users of the platform, with **>96%** using **2+** products and **69%** using **3+** products, creating multiple recurring revenue streams per account and embedding themselves into the Samsara ecosystem. This multi-product and large-customer focus supports net retention and turns marquee enterprises into lighthouse accounts that deepen Samsara's competitive moat and brand credibility in its target end markets.

Valuation & Revenue Driver/Build

I value Samsara on a two-year forward EV/Sales basis. My base case uses a **8.5x EV/Sales** multiple on **FY2029E Sales of $3.1bn** to derive a **$48** price target. I view 8.5x as appropriate given a more conservative compression as growth decelerates toward ~20% at exit, partially offset by IOT's proprietary data moat and accelerating mix shift toward large multi-product customers. Bear and Bull cases uses 5.0x and 11.0x multiples to get to price targets of $24 and $64, respectively.

Valuation Summary	Bear	Base	Bull
FY2029 Sales	$ 2,425	$ 3,064	$ 3,256
Exit EV/Sales	5.0	8.5	11.0
Target Price	**$ 24**	**$ 48**	**$ 64**
Upside/Downside	***-28.6%***	***42.0%***	***92.0%***
IRR	***-11.0%***	***28.0%***	***49.6%***

	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027e	FY28E	FY29E
Annual Recurring Revenue Model (ARR)										
Prior Year ARR		194.3	341.1	558.1	795.1	1,102.0	1,457.9	1,889.9	2,451.5	2,985.5
Net New ARR		146.8	51.2	237.0	306.9	355.9	432.0	561.6	534.0	322.0
YoY Growth			*48%*	*9%*	*29%*	*16%*	*6%*	*-6%*	*-2%*	*-2%*
QoQ Growth										
Ending ARR	194.3	341.1	558.1	795.1	1102.0	1457.9	1889.9	2451.5	2985.5	3307.5
YoY Growth		*76%*	*64%*	*42%*	*39%*	*32%*	*30%*	*30%*	*22%*	*11%*
Sub Rev as % of Average ARR	92%	92%	94%	95%	97%	96%	95%	95%	96%	96%
Revenue Model										
Subscription revenue	117.0	245.5	420.8	641.0	920.8	1,227.1	1,584.4	2,066.2	2,596.3	3,009.8
YoY % change		*110%*	*71%*	*52%*	*44%*	*33%*	*29%*	*30%*	*26%*	*16%*
% of Total Revenue	*97.6%*	*98.2%*	*98.2%*	*98.2%*	*98.2%*	*98.2%*	*98.2%*	*98.2%*	*98.2%*	*98.2%*
Other revenue	2.9	4.4	7.6	11.6	16.6	22.1	34.2	37.2	46.8	54.2
YoY % change		*53%*	*71%*	*52%*	*44%*	*33%*	*55%*	*9%*	*26%*	*16%*
% of Total Revenue	2.4%	1.8%	1.8%	1.8%	1.8%	1.8%	1.8%	1.8%	1.8%	1.8%
Total Revenue	119.9	249.9	428.3	652.5	937.4	1,249.2	1,618.6	2,103.4	2,643.1	3,064.1
YoY % change		*108%*	*71%*	*52%*	*44%*	*33%*	*30%*	*30%*	*26%*	*16%*
Customer Data										
Customers >$100K ARR	255	452	806	1,237	1,848	2,506	3,250	3,964	4,804	5,140
As % of Total Customers	*5%*	*4%*	*3%*	*4%*	*5%*	*7%*	*8%*	*10%*	*11%*	*11%*
Customers $10K - $100K ARR			8,094	11,263	14,652	17,494	20,974	24,460	27,820	27,900
As % of Total Customers	*0%*	*0%*	*28%*	*34%*	*39%*	*50%*	*55%*	*60%*	*63%*	*59%*
Customers $5k-10k ARR			5,600	6,800	7,900	4,000	4,500	4,250	4,500	4,500
As % of Total Customers	*0%*	*0%*	*20%*	*20%*	*21%*	*11%*	*12%*	*10%*	*10%*	*10%*
Customers <$5K ARR	5,000	10,000	14,000	14,000	13,300	11,305	9,609	8,168	6,943	5,901
As % of Total Customers	*95%*	*96%*	*49%*	*42%*	*35%*	*32%*	*25%*	*20%*	*16%*	*13%*

Risks

- **Growth Deceleration:** Management has acknowledged difficulty in forecasting revenue growth given macro uncertainty and rising competition. Given Samsara's premium starting multiple, slowdowns can drive multiple compression even if fundamentals remain healthy.

- **Threat Of Competition:** Similar offerings from competitors such as Geotab, Fleet Complete, and Powerfleet could crowd the market and pressure pricing.

- **Data Security and Privacy:** Samsara's platform ingests sensitive operational data from thousands of fleets; cyber breaches or attacks can disrupt customer operations, damage trust, and trigger regulatory scrutiny/fines.